

what?!)

- Doesn't all this constitute profoundly disturbing conflicts of interest? (No other answer is even possible.)
- What does this arrangement say about the judgment of the directors who approved it? (It says you should take your investment dollars elsewhere.)

Two clear lessons emerge from this disaster: Never dig so deep into the numbers that you check your common sense at the door, and always read the proxy statement before (and after) you buy a stock.

What is "proxy material" and why does Graham insist that you read it? In its proxy statement, which it sends to every shareholder, a company announces the agenda for its annual meeting and discloses details about the compensation and stock ownership of managers and directors, along with transactions between insiders and the company. Shareholders are asked to vote on which accounting firm should audit the books and who should serve on the board of directors. If you use your common sense while reading the proxy, this document can be like a canary in a coal mine—an early warning system signaling that something is wrong. (See the Enron sidebar above.)

Yet, on average, between a third and a half of all individual investors cannot be bothered to vote their proxies.⁶ Do they even read them?

Understanding and voting your proxy is as every bit as fundamental to being an intelligent investor as following the news and voting your conscience is to being a good citizen. It doesn't matter whether you own 10% of a company or, with your piddling 100 shares, just 1/10,000 of 1%. If you've never read the proxy of a stock you own, and the company goes bust, the only person you should blame is yourself. If you do read the proxy and see things that disturb you, then:

- vote against every director to let them know you disapprove
- attend the annual meeting and speak up for your rights
- find an online message board devoted to the stock (like those at <http://finance.yahoo.com>) and rally other investors to join your cause.

Graham had another idea that could benefit today's investors: